

BYD Electronics (00285 HK)

Likely Trough Behind, but Recovery Needs a Show-me

Maintain **Hold**
Target price HK\$ 30

Maintain Hold with TP of HK\$30: On Aug 28, BYDE reported 1H26 results with a margin miss, due to unfavorable mix and FX impact. However, management believes the trough is behind, with AI revenue set to ramp, driving growth and margin improvement. Cold plate shipments for Vera Rubin remain on track, supported by new project wins from a top-3 Chinese CSP. That said, we think investors will seek greater visibility into margin recovery and content value expansion for components, amid ongoing FX/memory headwinds. By factoring results, guidance, and lower GM/OPEX assumptions, we revise our earnings estimate by -18%/+6% for 2026E/2027E. Our TP of HK\$30 is based on 15x 2027E P/E.

Soft 1H26 Results: BYDE 1H26 revenue came in at RMB 82.2bn, +2% YoY, below consensus and our estimates. GM was at 4.9%, -2pts YoY, dragged by unfavorable FX and inferior mix due to lower content on iPhone. Accordingly, net income was down by 75% YoY to RMB 426mn, despite normalized OPEX. Segment-wise, Assembly revenue of RMB55.95bn, Component of RMB11.9bn, -24% YoY, and AI infrastructure of RMB752mn. Of note, NEV revenue rose 6% YoY to RMB13.6bn, a bright spot despite 15% YoY decline in BYD's EV shipments during 1H26, driven by ASP improvements on higher penetration rate of intelligent suspension systems/fast-charging products.

VR200 CP on track; HVDC/Connectivity still early: BYDE is on track to ship cold plate (via Lead Wealth) for VR200 starting in Sep with a ramp in 4Q26, and accelerate further in 2027 where we anticipate multiple-fold growth YoY. To support this ramp, the company is planning to expand capacity from its current 40,000 m² to 200,000 m² within six months. Longer-term, BYDE is positioning for the meaningful contribution from HVDC/SST and connectivity products in 2028-2029, though these remain in early stages. Currently, we forecast RMB3.8bn/12bn for AI computing infrastructure sales in 2026E/2027E.

Risks: 1) Smartphone sales deterioration; 2) AI share lower than expected; 3) Competition.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	177,306	179,477	187,324	206,981	225,479
Revenue YoY (%)	36.4	1.2	4.4	10.5	8.9
Net profit (m)	4,266	3,515	2,288	3,856	5,045
Net profit YoY (%)	5.5	-17.6	-34.9	68.5	30.8
EPS (RMB)	1.9	1.6	1.0	1.7	2.2
P/E	11.2	13.5	20.8	12.3	9.4
ROE (%)	13.8	10.5	6.5	10.2	12.0

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

1H26 Results soft

For 1H26, revenue was RMB82.2bn, +2% YoY, below consensus and our estimates. GM was 4.9%, -2ppts YoY, a miss due to FX headwinds and unfavorable mix. Accordingly, net income of RMB426mn, -75% YoY, despite better OPEX control. Segment wise, Assembly revenue reached RMB55.95bn, Component revenue of RMB11.9bn, -24% YoY, AI infrastructure revenue of RMB752mn, and auto business revenue of RMB13.6bn, +6% YoY, which was the silver lining of the results.

For 2026, we forecast revenue of RMB187bn, +4% YoY, mainly driven by AI infrastructure revenue ramp in 2H26, which we expect to reach RMB3.8bn.

Figure 1: BYDE's 1H26 results

RMB m	1H26	2H25	HoH	1H25	YoY	GFHK	Diff	Consensus	Diff
Net sales	82,234	98,872	-17%	80,606	2%	78,184	5%	79,838	3%
Gross profit	4,037	5,214	-23%	5,546	-27%	4,528	-11%	5,908	-32%
OPEX	3,465	3,831	-10%	4,161	-17%	3,950	-12%	4,437	-22%
Op. profit	572	1,382	-59%	1,385	-59%	578	-1%	1,471	-61%
Pre-tax Income	481	2,028	-76%	1,896	-75%	838	-43%	2,047	-77%
Net Income	426	1,788	-76%	1,730	-75%	755	-44%	1,801	-76%
EPS (RMB)	0.19	0.80	-76%	0.77	-75%	0.34	-44%	0.80	-76%
			ppt.		ppt.		ppt.		ppt.
GM	4.9%	5.3%	(0.4)	6.9%	(2.0)	5.8%	(0.9)	7.4%	(2.5)
OPM	0.7%	1.4%	(0.7)	1.7%	(1.0)	0.7%	(0.0)	1.8%	(1.1)
Pre-tax margin	0.6%	2.1%	(1.5)	2.4%	(1.8)	1.1%	(0.5)	2.6%	(2.0)
Net Margin	0.5%	1.8%	(1.3)	2.1%	(1.6)	1.0%	(0.4)	2.3%	(1.7)

Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring results, guidance, lower GM & OPEX, we revise our 2026E/2027E EPS estimates by -18%/+6%.

Figure 2: Earnings revision

RMB m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	179,477	174,897	187,324	207,276	206,981	7%	0%
Gross profit	10,757	10,738	9,814	13,036	12,484	-9%	-4%
Operating profit	2,764	2,588	2,349	3,736	3,634	-9%	-3%
Pre-tax Income	3,921	3,110	2,549	4,084	4,333	-18%	6%
Net profit	3,515	2,799	2,288	3,634	3,856	-18%	6%
EPS (RMB)	1.56	1.25	1.02	1.62	1.72	-18%	6%
Key ratios (%)							
Gross margin	6.0%	6.1%	5.2%	6.3%	6.0%		
Operating margin	1.5%	1.5%	1.3%	1.8%	1.8%		
Pre-tax margin	2.2%	1.8%	1.4%	2.0%	2.1%		
Net profit margin	2.0%	1.6%	1.2%	1.8%	1.9%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: BYDE's P&L forecast

(RMB m)	2025	1H26	2H26E	2026E	1H27E	2H27E	2027E
Sales	179,477	82,234	105,090	187,324	94,225	112,756	206,981
COGS	168,721	78,198	99,313	177,510	88,738	105,759	194,497
Gross profit	10,757	4,037	5,777	9,814	5,488	6,997	12,484
Opex	7,993	3,465	4,000	7,465	4,200	4,650	8,850
Operating profit	2,764	572	1,777	2,349	1,288	2,347	3,634
Non-operating profit	1,157	-91	291	201	349	349	698
Pre-tax profit	3,921	481	2,068	2,549	1,637	2,696	4,333
Income tax	407	55	207	261	180	297	477
Net Income	3,515	426	1,862	2,288	1,457	2,399	3,856
EPS(RMB)	1.6	0.2	0.8	1.0	0.6	1.1	1.7
Outstanding shares	2,248	2,246	2,246	2,246	2,246	2,246	2,246
Margin analysis							
Gross margin	6.0%	4.9%	5.5%	5.2%	5.8%	6.2%	6.0%
Operating margin	1.5%	0.7%	1.7%	1.3%	1.4%	2.1%	1.8%
Pre-tax margin	2.2%	0.6%	2.0%	1.4%	1.7%	2.4%	2.1%
Effective tax rate	10.4%	11.3%	10.0%	10.3%	11.0%	11.0%	11.0%
Growth (YoY%)							
Sales	1%	2%	6%	4%	15%	7%	10%
Operating profit	-30%	-59%	29%	-15%	125%	32%	55%
Net income	-18%	-75%	4%	-35%	242%	29%	69%
EPS	-17%	-75%	4%	-35%	242%	29%	69%
Product mix (%)							
Assembly	64%	68%	65%	66%	63%	61%	62%
Components	16%	14%	15%	15%	15%	15%	15%
NEV	15%	17%	17%	17%	17%	18%	18%
AI Computing	4%	1%	3%	2%	5%	6%	6%

Sources: Company data, GF Securities (Hong Kong) Brokerage

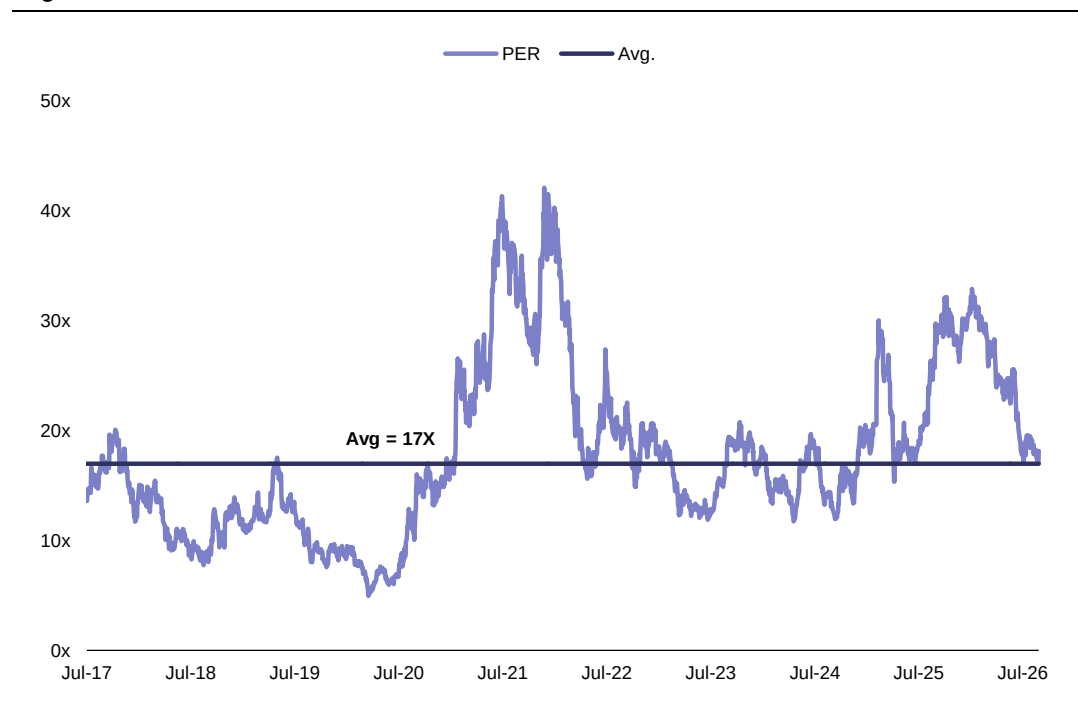
Valuation and Recommendation

Hold with TP of HK\$30

We rate BYDE (00285 HK) Hold and set our TP at HK\$30, which is based on 15x our 2027E EPS estimate. We adopt P/E methodology as we believe the market now mainly focus on the company's earnings outlook, and we usually apply P/E method to downstream firms.

BYDE's P/E traded at an average of 17x, or in a range of 12x to 22x since 2021 when the company transited from the mask business to consumer and automotive. We derive our target price based on 15x P/E (and convert it to HKD), which is below its average, reflecting the broad-based consumer electronics weakness and near-term margin headwinds. We believe investor may wait for more visibility into its improving sales/margin trajectory.

Figure 4: BYDE's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) Smartphone sales deterioration; 2) AI share lower than expected; 3) Competition.

Balance Sheet						RMB mn
	2024	2025	2026E	2027E	2028E	
Current assets	60,416	54,678	56,875	60,824	67,651	
Cash and cash equivalents	7,052	13,552	13,797	13,405	16,078	
Inventory	18,089	18,482	19,445	21,306	23,125	
Accounts Receivable	32,777	14,999	15,655	17,298	18,843	
Other current assets	2,497	7,645	7,979	8,816	9,604	
Non-current assets	29,932	28,934	36,006	32,203	35,973	
Long-term equity investment	-	-	-	-	-	
Fixed assets	17,113	17,798	18,006	18,203	17,973	
Other long-term assets	12,819	11,136	18,000	14,000	18,000	
Total assets	90,347	83,612	92,881	93,027	103,623	
Current liabilities	50,823	46,628	53,115	50,292	55,676	
Accounts Payable	35,331	29,476	34,510	35,896	40,002	
Short-term borrowings	6,505	7,184	8,201	2,901	3,152	
Other current liabilities	8,987	9,968	10,403	11,495	12,522	
Non-current liabilities	7,122	2,543	3,494	3,378	3,545	
Long-term Debt	5,595	1,099	2,050	1,934	2,101	
Other non-current liabilities	1,528	1,444	1,444	1,444	1,444	
Total liabilities	57,946	49,170	56,608	53,669	59,221	
Total Equity	32,402	34,442	36,272	39,357	44,402	
Share Capital	4,052	4,052	4,052	4,052	4,052	
Additional Paid-in Capital	-	-	-	-	-	
Retained earnings	28,349	30,390	32,220	35,305	40,350	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	90,347	83,612	92,881	93,027	103,623	

Income Statement						RMB mn
	2024	2025	2026E	2027E	2028E	
Revenue	177,306	179,477	187,324	206,981	225,479	
Cost of sales	165,004	168,721	177,510	194,497	211,109	
Gross profit	12,301	10,757	9,814	12,484	14,370	
Operating Expense	8,374	7,993	7,465	8,850	9,500	
Operating profit	3,927	2,764	2,349	3,634	4,870	
Interest Income	-	-	-	-	-	
Interest Expense	521	370	337	302	202	
Net other Non-op. Income/(Loss)	1,334	1,528	537	1,000	1,000	
Pre-tax profit	4,740	3,921	2,549	4,333	5,669	
Income tax	475	407	261	477	624	
Profit for the year	4,266	3,515	2,288	3,856	5,045	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	4,266	3,515	2,288	3,856	5,045	
EPS (RMB)	1.9	1.6	1.0	1.7	2.2	

Cash Flow Statement						RMB mn
	2024	2025	2026E	2027E	2028E	
Operating cash flow	8,995	4,951	16,470	11,194	7,508	
Profit for the year	4,041	4,266	3,515	2,799	3,634	
Depreciation & amortization	2,791	5,808	5,593	5,133	5,521	
Change in working capital	2,163	-5,122	7,363	3,262	-1,648	
Others	-	-	-	-	-	
Investing cash flow	-18,897	-3,128	-4,595	-5,341	-5,341	
Capex	-9,556	-2,279	-5,347	-4,410	-4,410	
Change in investment	-	-	-	-	-	
Others	-9,341	-849	752	-930	-930	
Free cash flow	-9,901	1,823	11,875	5,853	2,167	
Financing cash flow	14,184	-5,318	-5,375	-574	-4,641	
Change in Capital	-346	-1,194	-1,474	-560	-727	
Net Change in Debt	14,530	-4,123	-3,901	-14	-3,914	
Others	-	-	-	-	-	
Exchange influence	-	-	-	-	-	
Net increase in cash	4,282	-3,494	6,500	5,279	-2,474	

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth (%)					
Revenue growth	36.4	1.2	4.4	10.5	8.9
Operating profit growth	6.0	-29.6	-15.0	54.7	34.0
Net profit growth	5.5	-17.6	-34.9	68.5	30.8
Profitability (%)					
Gross profit margin	6.9	6.0	5.2	6.0	6.4
Operating Profit Margin	2.2	1.5	1.3	1.8	2.2
Net profit margin	2.4	2.0	1.2	1.9	2.2
Key Ratio (%)					
ROA	4.8	4.0	2.6	4.1	5.1
ROE	13.8	10.5	6.5	10.2	12.0
Stability					
Gross debt/equity	37.3	24.0	28.3	12.3	11.8
Interest Coverage	10.1	11.6	8.6	15.4	29.1
Current Ratio	1.2	1.2	1.1	1.2	1.2
Quick Ratio	0.8	0.8	0.7	0.8	0.8
Net debt/equity	15.6	Net cash	Net cash	Net cash	Net cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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